

Can AI-Powered D2C Become K-Fashion's Breakthrough to the Global Market?

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The global success of **K-culture** and **K-beauty** has raised expectations that **K-fashion** could also establish a strong international presence by building on the cultural appeal of the Korean Wave. The reality, however, is far more challenging. While Korea's fashion industry is recognized for its sophisticated design sensibility and ability to respond quickly to emerging trends, it has yet to build the global brand power and distribution infrastructure needed to achieve a comparable level of international influence.

Most Korean fashion brands continue to rely on intermediary sales channels such as department stores, select shops, and online marketplaces. Although these channels generate sales, they also own the customer data. Brands can see what they sell, but they rarely know **who** purchased their products, **why** they made those purchases, or **how** they came to purchase them. In this environment, the **Direct-to-Consumer (D2C)** strategy that fueled the success of K-culture and K-beauty may offer K-fashion a realistic path toward global growth.

The roots of D2C in fashion can be traced back to pioneering SPA brands such as **GAP**, **Zara**, and **UNIQLO**. At the time, D2C primarily focused on shortening distribution channels and achieving economies of scale. Today, however, D2C e-commerce is about far more than reducing distribution costs. It enables brands to connect directly with consumers through data and digital technologies, transforming customer relationships into long-term business assets.

When combined with AI, the D2C model evolves even further. AI-powered D2C continuously analyzes customer preferences and behavior in real time, enabling brands to deliver personalized products and experiences. This data-driven approach may prove to be one of the most practical strategies for helping K-fashion strengthen its global competitiveness.

Two companies exemplify the potential of this model: **Glossier** and **SKIMS**.

Founded in 2014, **Glossier** grew out of founder **Emily Weiss's** beauty blog, *Into the Gloss*. Guided by the philosophy that "*the brand that turns customer feedback into data the fastest will lead the market*," Weiss analyzed blog comments and product reviews to shape product development. Packaging, formulations, and color palettes were continuously refined based on customer input, making consumer feedback the blueprint for product innovation.

Glossier has long described itself as a **technology company** as much as a beauty brand. Built on AWS cloud infrastructure, it developed an integrated platform that revealed visitors who first engaged with its blog were significantly more likely to make purchases than those who visited only its online store. By connecting customer data across both channels, Glossier was able to identify which content influenced purchasing behavior and use those insights to power personalized marketing. In essence, it built a data-driven D2C model that connected customer insights across the entire value chain—from product planning to marketing.

SKIMS, the shapewear brand launched by **Kim Kardashian** in 2019, represents the next evolution of AI-powered D2C. The company continuously collects customer behavior data—including purchase history, shopping cart activity, and search behavior—to automatically segment customers and personalize marketing campaigns. Data generated across multiple systems is consolidated into a unified platform, allowing SKIMS to monitor marketing performance, **Customer Acquisition Cost (CAC)**, and **Customer Lifetime Value (LTV)** in real time.

Machine learning further enhances these capabilities by forecasting demand for specific colors and sizes while recommending the products most relevant to individual customers. Its **AI Fit** solution analyzes just two customer photos to estimate body measurements and recommend the optimal size. The result is lower return rates and higher customer satisfaction.

If the SPA model was built on **distribution efficiency** and **economies of scale**, AI-powered D2C creates an **economy driven by data**. In the future, competitive advantage in fashion will depend on how deeply brands understand their customers. Rather than simply selling products, fashion companies must evolve into organizations that design and communicate alongside their customers. At the center of this transformation are AI and data. As this transformation takes shape, K-fashion has the opportunity to grow into a globally influential industry alongside K-pop and K-beauty.

Fashion IT Insights

Glossier

- **AWS** – Cloud infrastructure
- **Integrated Real-Time POS** – Automated real-time sales and inventory management
- **Segment (Customer Data Platform)** – Integrates customer data from the blog and online store to build customer profiles and better understand user behavior
- **Machine Learning** – Personalized marketing and improved purchase conversion rates

SKIMS

- **Shopify** – E-commerce platform
- **Klaviyo** – Automated email and SMS marketing
- **Snowflake** – Cloud data warehouse
- **Looker** – Business intelligence dashboard
- **Machine Learning** – Demand forecasting and personalized product recommendations
- **AI Fit** – AI-powered sizing recommendations based on two customer photos